SYNTHETIC REGULATORY CIRCULAR

Circular No. SYN/REG/2026-27/027

Date: 21 July 2026
To: All Regulated Entities
Subject: Enhanced Measures for Politically Exposed Persons and Beneficial Ownership

1. Background

Recent supervisory reviews identified weaknesses in the identification of beneficial owners in layered corporate structures and in PEP lifecycle monitoring.

2. Directions

(a) The beneficial ownership threshold for companies is lowered from 25 percent to 10 percent for customers rated High risk. (b) Banks shall obtain an ownership chart signed by an authorised signatory for all entities with more than two layers of ownership. (c) A customer who ceases to hold a prominent public function shall continue to be treated as a PEP for 12 months after cessation, after which the risk rating shall be reviewed.

3. Source of Wealth

Source of wealth documentation for PEPs shall include at least two independent corroborating documents, such as audited financial statements, tax returns, or property documents.

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